

particularly harrowing shrinkage in market value during the interim. What is the explanation? Was it inertia or carelessness on the part of the trustee? Superficially it might well seem so; yet in fact the trustee gave much time and thought to this situation. But its efforts were controlled—and vitiated—by the established principle of bond trusteeship, *viz.*, “Never do anything that anyone might possibly criticize, unless requested to do so by bondholders in the manner specified in the indenture.” In the case of Financial Investing 5s, the trustee could be compelled to act upon request in writing from the holders of 30% of the bonds, accompanied by the usual indemnities. The trustee hesitated to sell the collateral promptly on its own initiative, because if the market recovered later, it might be accused by the stockholders of having unwarrantably wiped them out. It appears also that for a similar reason some of the bondholders were opposed to the sale of the collateral after its value had fallen below the par amount of the issue.

It is not difficult to show that these objections to carrying out the protective provisions of the indenture were basically unsound. In fact, if they were tenable, there would be no excuse for having these provisions in the indenture. If we analyze this incident as a whole, we see that the unsatisfactory results flowed from a combination of:

1. The lack of clearly established rules of procedure to enforce the terms of an indenture.
2. A typical body of bondholders with little financial acumen and less initiative.
3. A basis of trusteeship under which the trustees look to these inert and unreasoning bondholders for guidance, instead of guiding them.

NOTE 34

We believe that the two examples following should be preserved as a warning to the analyst against excessive reliance upon (1) the protective covenants in the indenture, and (2) the statistical exhibit, when selecting industrial bonds.

I. Willys Overland Co. Ten-year First 6¹/₂s, due September 1933. Amount of original issue, \$10,000,000.

A. Protective provisions:

1. A direct first mortgage upon all the fixed assets now owned or hereafter acquired (except for new purchase-money liens), and secured also by pledge of all stocks owned in the principal subsidiary companies. The subsidiaries were prohibited from creating mortgages or funded debt unless same were pledged to secure this issue.